

Company Code: H1J
Company Name: THE KL GROUP INC
May 3, 2021

RE: Premium Only Plan Monthly Compliance Test Results for the Month Ending April 30, 2021

Dear Client:

Enclosed you will find the results of the interim compliance tests performed on your Premium Only Plan. Under the Internal Revenue Code, Premium Only Plans are not permitted to disproportionately favor Highly Compensated and Key Employees. Failure to comply with nondiscrimination requirements could impact the taxability of contributions made to the Plan by your Highly Compensated and/or Key Employees.

Please note that the testing conducted by ADP is based upon the information as coded by you on your payroll. The accuracy of the test results is dependent upon the quality of the coding. ADP will not be responsible for consequences resulting from invalid data and/or coding. In addition, these compliance tests are required to be conducted using the controlled group and affiliated service group rules and by taking leased employees into account. If you are a member of a controlled group/affiliated service group or utilize the services of leased employees, consult your Client Training and Procedure Document for a detailed explanation of how this may impact your ability to rely upon these test results.

Below is an overview of the results of your interim (monthly) compliance tests. The following documents supporting the test results are attached.

- Concentration Test Results
- Non-Discrimination Classification (Eligibility) Results:
- Company/Employee Report (Please review and make any changes on your next payroll)
- Employee Audit Listing Report (Please review to ensure that all employees are correctly coded for POP)

Potentially invalid coding has been detected within your employee data. As a result, assumptions have been made in the data used to perform the tests. Please refer to the attached Company/Employee Report for a list of employees with potentially invalid data and the assumptions made.

CONCENTRATION TEST

The total pre-tax dollars contributed by Key Employees cannot exceed 25% of the total pre-tax dollars contributed by all employees participating in the Premium Only Plan.

RESULTS:

Maximum Allowable Concentration Percentage: 25%
Your Plan's Concentration Percentage: 0.0%.

Based upon the information provided, the Plan IS PASSING the Interim Concentration Test as of the Month ending Apr 30, 2021.

NONDISCRIMINATORY CLASSIFICATION TEST (ELIGIBILITY)

The Internal Revenue Code requires that your Premium Only Plan not discriminate disproportionately in favor of Highly Compensated Individuals as to eligibility. As permitted under an Internal Revenue Code safe harbor, ADP tests your Plan's compliance with this requirement using the Nondiscriminatory Classification Test (Eligibility), which measures whether an acceptable percentage of Non-Highly Compensated Employees (NHCEs) versus Highly Compensated Employees (HCEs) are eligible to participate in the Plan. Whether your Plan passes this test depends upon whether its Ratio Percentage (the percentage of eligible NHCEs divided by the percentage of eligible HCEs) exceeds a Safe Harbor Percentage, falls between the Safe and an Unsafe Harbor Percentage, or falls below the Unsafe Harbor Percentage.

RESULTS:

The Safe Harbor percentage for your Plan is 27.50%.
Your Plan's Ratio Percentage is 200.00%.

Based upon the information provided, your Plan IS PASSING the Nondiscrimination Classification Test (Eligibility) as of the month ending Apr 30, 2021 because the Ratio Percentage is greater than the Safe Harbor Percentage.

NONDISCRIMINATORY CLASSIFICATION TEST (BENEFITS):

This test requires the employer to compare the availability and cost of benefits to similarly situated participants. ADP does not have access to the information needed to perform this test. It is your responsibility to perform this test for your Plan each year following the close of the plan year. A worksheet can be found in your POP Client Training and Procedure Document that is intended to assist you in performing the test at plan year-end

IMPORTANT: The information above is a simplified explanation of the compliance tests required for your Premium Only Plan. You should consult with your tax advisor and/or legal counsel when reviewing/evaluating or performing each test.

To assist you with on going compliance, ADP will continue to perform monthly interim tests. It is important that you review these results and consult your tax and/or legal advisor to ensure that your Premium Only Plan remains in compliance.

Please review the results of these tests and contact the Premium Only Plan Service team immediately at 1-866-ADP-4POP with any questions.

IMPORTANT NOTICE REGARDING LIMIT CHANGES:

HIGHLY COMPENSATED EMPLOYEES:

The dollar threshold for determining Highly Compensated Employees (HCE) on the basis of compensation is \$130,000 for look-back years beginning in 2020. The look-back year is the 12-month period preceeding the plan year that is being tested. (Example: If your plan year is the calendar year and you are determining compensation-based HCE for the 2021 plan year, the compensation-based HCE for 2021 would be those employees who earned more than \$130,000 in 2020. Similarly, to determine compensation-based HCE for the 2020 plan year, you would identify those employees who earned more than \$125,000 in 2019). Please refer to your Client Training and Procedures Document for important information regarding the identification of HCE.

KEY EMPLOYEES:

The dollar threshold for determining Key Employees on the basis of "officer" status for 2021 is \$185,000 (unchanged from 2020). It is important that you refer to your Client Training and Procedures Document for more important information regarding the identification and proper coding of Key Employees.

DATE: 05/03/2021

PREMIUM ONLY PLAN COMPLIANCE REPORT
CONCENTRATION TEST RESULTS - APRIL 30, 2021

V.M. 015.000

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POP PARENT COMPANY CODE: H1J
COMPANY NAME: THE KL GROUP INC

	KEY	NON-KEY	TOTAL
A) NUMBER OF EMPLOYEES ELECTING POP BENEFITS:			
COMPANY H1J - THE KL GROUP INC	0	11	11
B) DEDUCTIONS TAKEN FOR TAX-EXEMPT BENEFITS:			
COMPANY H1J - THE KL GROUP INC	.00	15,766.47	15,766.47
C) CONCENTRATION PERCENTAGE:			0.0%

Under the Concentration Test, the value of the total non-taxable benefits selected by Key Employees cannot exceed 25% of the total non-taxable benefits selected by all employees under your Premium Only Plan. This is called the Plan's Concentration Percentage.

Your Plan's current Concentration Percentage is 0.0% and falls below 25% as of the month ending Apr 30, 2021. Therefore, your Plan is currently passing the Concentration Test. See the Accompanying cover letter for further information.

DATE: 05/03/2021

PREMIUM ONLY PLAN COMPLIANCE REPORT
 NONDISCRIMINATION CLASSIFICATION TEST (ELIGIBILITY)

V.M. 015.000
 RESULTS - APRIL 30, 2021

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POP PARENT COMPANY CODE: H1J
 COMPANY NAME: THE KL GROUP INC

	ELIGIBLE	INELIGIBLE	TOTAL
A) NUMBER OF HIGHLY COMPENSATED EMPLOYEES (HCE): COMPANY H1J - THE KL GROUP INC	1	1	2
B) NUMBER OF NON-HIGHLY COMPENSATED EMPLOYEES (NHCE): COMPANY H1J - THE KL GROUP INC	19	0	19
C) TOTAL EMPLOYEES:	20	1	21
D) PLAN'S RATIO PERCENTAGE:	200.00%		
E) SAFE HARBOR PERCENTAGE:	27.50%		

ADP tests whether your Premium Only Plan's eligibility provisions discriminate disproportionately in favor of Highly Compensated Employees (HCEs) by conducting the Nondiscriminatory Classification Test (Eligibility). Under this test, the IRS considers a plan's eligibility provisions to be nondiscriminatory when the plan's Ratio Percentage (Line D) meets or exceeds the safe harbor percentage (Line E). The Ratio Percentage is the percentage of Non-Highly Compensated Employees (NHCEs) who are eligible to participate divided by the percentage of Highly Compensated Employees (HCEs) who are eligible to participate.

The results of the test indicate that your Plan IS PASSING the Nondiscriminatory Classification Test (Eligibility) as of the month ending Apr 30, 2021. See the accompanying cover letter for further information.

The numbers in Sections A and B do not include employees who are permanently or temporarily excluded under your Plan's terms. Consult your Client Training and Procedure Document for more detail. As a result, the above totals may not reflect the actual number of employees in your company.

DATE: 05/03/2021

PREMIUM ONLY PLAN COMPLIANCE REPORT
COMPANY/EMPLOYEE CODES - APRIL 30, 2021

V.M. 015.000

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POP PARENT COMPANY CODE: H1J
COMPANY NAME: THE KL GROUP INC

SECTION 1 - COMPANY DATA

COMPANY CODE	COMPANY NAME	ERROR MESSAGE
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NO INVALID DATA FOUND

SECTION 2 - PREMIUM ONLY PLAN CODES

THE EMPLOYEES LISTED BELOW MAY HAVE INVALID CODING FOR YOUR PREMIUM ONLY PLAN (POP). THE POP CODES PROVIDED FOR EACH EMPLOYEE LISTED MAY BE INVALID AND SHOULD BE VERIFIED BY YOU AND CORRECTED AS NECESSARY PRIOR TO YOUR NEXT PAYROLL.

COMP CODE	DEPT	FILE NUMBER	EMPLOYEE NAME	-- INVALID CODES ON FILE --	-- CODING USED FOR TESTS --
				EXCL. KEY HCE ELIG.	EXCL. KEY HCE ELIG.
H1J	000101	000833	CUMMINS,GEOFFREY C	BLANK BLANK BLANK BLANK	NO YES YES YES

NOTE: THE EMPLOYEES LISTED ABOVE WERE INCLUDED IN YOUR CURRENT COMPLIANCE TESTS, THEREFORE, THE RESULTS MAY NOT BE VALID. IT IS IMPORTANT THAT YOU VERIFY THE REQUIRED CODING FOR EACH EMPLOYEE TO ENSURE THAT YOUR PREMIUM ONLY PLAN REMAINS IN COMPLIANCE WITH APPLICABLE LAW. IF YOUR PLAN IS NOT IN COMPLIANCE, YOUR KEY AND HIGHLY COMPENSATED EMPLOYEES MAY BE AT RISK OF LOSING THE TAX-EXEMPT STATUS OF THEIR POP BENEFITS. SEE THE ACCOMPANYING COVER LETTER FOR FURTHER EXPLANATIONS.

SECTION 3 - INVALID EMPLOYEE DATA

COMP CODE	DEPT	FILE NUMBER	EMPLOYEE NAME	ERROR MESSAGE
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----- ASSUMPTION USED FOR TESTS -----

NO INVALID DATA FOUND

NOTE: PLEASE REVIEW THE CODING ABOVE AND VERIFY AND CORRECT AS NECESSARY PRIOR TO YOUR NEXT PAYROLL.

DATE: 05/03/2021

PREMIUM ONLY PLAN COMPLIANCE REPORT
 EMPLOYEE AUDIT LISTING - APRIL 30, 2021

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POP PARENT COMPANY CODE: H1J
 COMPANY NAME: THE KL GROUP INC

COMP CODE	DEPT	FILE NUMBER	EMPLOYEE NAME	EMPLOYEE STATUS	SSN	HIRE DATE	TERM DATE	EXCLD	KEY	HCE	ELIG	DEDUCTIONS	--INCL CONC TEST	IN-- DISC TEST	DUPL EMPL
H1J	000300	000807	ADAMS, TOREY L	A	ON FILE	5/18/2009					Y	.00		Y	
	000102	000830	BURTON, MATTHEW D	A	ON FILE	3/30/2020					Y	.00		Y	
	000101	000824	CRAFT, KAREN C	A	ON FILE	8/19/2019					Y	159.75	Y	Y	
	000101	000833	CUMMINS, GEOFFREY C	A	ON FILE	4/19/1921			Y	Y	Y	.00		Y	
	000102	000806	DILLMAN, EDWARD	A	ON FILE	12/01/2008					Y	3,160.08	Y	Y	
	000101	000817	FEDUNYSZYN, MICHAEL	A	ON FILE	4/09/2017					Y	1,201.59	Y	Y	
	000102	000816	FRANK, PETER	A	ON FILE	2/29/2016					Y	.00		Y	
	000102	000815	GOLDSTONE, CATHLEEN	A	ON FILE	2/22/2016					Y	.00		Y	
	000200	000826	GRAHAM, COREY D	A	ON FILE	10/15/2019					Y	1,807.47	Y	Y	
	000102	000823	HARMER, DAVID H	A	ON FILE	6/18/2019					Y	.00		Y	
	000102	000820	HOWE, BRADLEY K	A	ON FILE	1/28/2019					Y	.00		Y	
	000200	000829	KEISTER, ROBERT D	A	ON FILE	2/03/2020					Y	.00		Y	
	000101	000800	LIVINGSTON, KENNETH	A	ON FILE	1/18/1991			Y	Y	Y	.00		Y	
	000101	000825	MCKELVEY, COLIN M	A	ON FILE	9/23/2019					Y	957.78	Y	Y	
	000102	000822	ROBINSON, MARK D	A	ON FILE	4/22/2019					Y	1,201.59	Y	Y	
	000102	000832	RODRIGUEZ, ROBERT T	A	ON FILE	11/02/2020					Y	.00		Y	
	000200	000827	RUBINO, MARCO A	A	ON FILE	11/25/2019					Y	1,201.59	Y	Y	
	000102	000813	SCHLAFER, KIMBERLY A	A	ON FILE	2/14/2015					Y	1,422.36	Y	Y	
	000200	000809	SHIELDS, GEORGE R	A	ON FILE	2/18/2013					Y	1,021.50	Y	Y	
	000102	000818	SHORT, STEPHEN W	A	ON FILE	2/05/2018					Y	589.86	Y	Y	
	000200	000811	WILSON, PETER L	A	ON FILE	4/10/2014					Y	3,042.90	Y	Y	